available Comptroller criteria and guidance, as well as internal control standards and general cost accounting criteria for adequacy, eligibility, and reasonableness. As part of our data reliability process, we confirmed that the data provided by the Comptroller were accurately recorded in the software we used to analyze the data. To assess the oversight role played by ODRP, we met with the relevant ODRP, CENTCOM, and Comptroller officials, as well as with other officials from the U.S. Embassy and Pakistan's Ministries of Defense and Interior. We visited Peshawar, near the FATA, to discuss operations being reimbursed with CSF funds with the U.S. consulate and Pakistan's 11th Army Corps and Frontier Corps.

This is the fourth in a series of products we plan to release assessing various aspects of the U.S. engagement with Pakistan to combat terrorism.[5] We plan to issue a fifth product that assesses the U.S. security, political, and development assistance activities used to meet U.S. strategic goals in Pakistan, as well as the progress of these efforts.

We conducted this performance audit from September 2007 through June 2008 in accordance with generally accepted government auditing standards. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on our audit objectives. We believe that the evidence obtained provides a reasonable basis for our findings and conclusions based on our audit objectives. (See app. I for details on our scope and methodology.)

RESULTS IN BRIEF

We found that Defense did not consistently apply its existing CSF oversight guidance and that certain deficiencies existed in Defense's oversight procedures. Defense's 2003 guidance calls for, among other things, CSF reimbursement claims to contain quantifiable information that indicates the incremental nature of support (i.e., above and beyond normal operations), validation that the support or service was provided, and copies of invoices or documentation supporting how the costs were calculated. While Defense generally conducted the macro-level analytical reviews called for in its guidance, such as determining whether the cost is less than that which would be incurred by the United States for the same services, for a large number of claims Defense did not obtain sufficient documentation from Pakistan to verify that claimed costs were incremental,[6] actually incurred, or correctly calculated as called for by the Comptroller's CSF guidance. For example, as of May 2008, Defense paid over $2 billion in Pakistani reimbursement claims for military activities covering January 2004 through June 2007 without obtaining detailed information that would enable a third party to recalculate these costs.[7] In addition, Defense often did not adequately document the basis for their decisions to allow or disallow claims, and we found inconsistencies in Defense payments that were not explained. As a result, Defense may have reimbursed costs that (1) were not incremental—i.e., above and beyond normal operations; (2) were not based on actual activity; or (3) were potentially duplicative. For example, Defense paid

- more than $200 million for Pakistan's air defense radar before ODRP questioned whether this was an incremental cost, as stipulated in CSF guidance;[8]
- approximately $30 million for army road construction and $15 million for bunker construction without evidence that the roads and bunkers had been built; and

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